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SEPTEMBER 11, 2001: A plane hijacked by terrorists crashes into the iconic World Trade Center in New York, killing thousands and causing billions of dollars of losses for businesses. Not to mention setting off a war and other long-term geopolitical consequences.

MARCH 11, 2011: A deep-sea quake triggers a tsunami of monstrous power and scale, which smashes into Japan and wreaks havoc on its citizens and infrastructure. Again, the loss to life and business is mind-boggling.

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APRIL 6, 2018: The Reserve Bank of India (RBI) asks payments system providers in India to use data collected within the country to be locally stored within six months. Reason: Perceived data security risks associated with sensitive data being parked overseas.

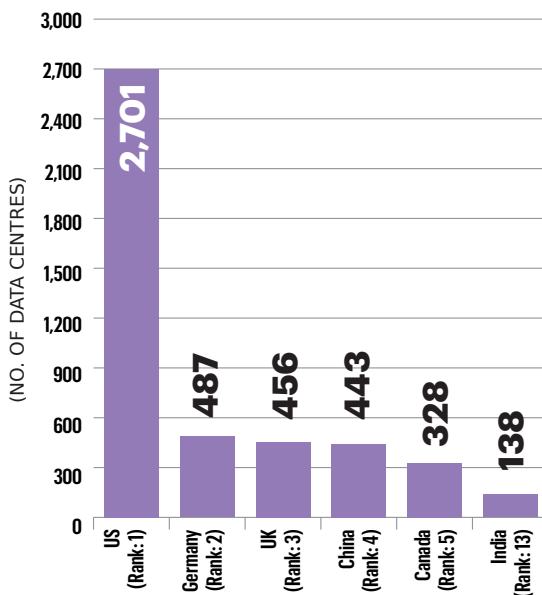
A terrorist attack. A natural disaster. A policy change. Three incidents, three different locations, three different points in time. Isolated. Unconnected.

Yet, they had one common impact. They impressed upon businesses the need to protect their digital frameworks and data, preferably on the cloud, and within very large 'warehouses' of servers, networking infrastructure and software systems, called data centres. As data centres mushroomed in developed markets, the RBI's action—and a subsequent government proposal for a new data protection Bill in 2019 in particular—brought home the boom to a digitally savvy India.

Described as the 'data factory to the world', data centres are a key element in today's internet experience. Without it, you wouldn't be able to send a WhatsApp message or initiate a UPI transaction or binge-watch your favourite show on Netflix. Why so? Practically all the data we generate and consume—when we use our smartphones and the internet, trade in stocks, access banking services, purchase goods, or engage in any other online activity—is stored, processed and managed through these huge computing powerhouses.

CENTRE OF ATTRACTION

The US has the highest number of data centres in the world



NUMBER OF DATA CENTRES WORLDWIDE IN 2022; SOURCE STATISTA

And it is in that backdrop that many domestic infrastructure firms, from Adani Group to L&T to Hiranandani Group to global giants such as NTT, Google, Microsoft and Amazon, have plans to create greenfield data centres in the country or increase the capacity of their existing data centres. With companies pouring in billions of dollars in capital to set up these power-guzzling infrastructure components, about 4,900-5,000 MW of data centre capacity is expected to be added in the next six years, according to research firm ICRA Ratings, involving investments of nearly ₹1.5 lakh crore.

With 138 data centres, India is currently the world's 13th largest market. And 45 new data centres—covering 13 million sq. ft and 1,015 MW of capacity, are expected to pop up by the end of 2025, per research by AN-AROCK-Binswanger. According to Arizton Advisory & Intelligence, a Chicago-based market research firm, India's data centre market was valued at \$4.35 billion in 2021. "By 2027, it is predicted to grow to \$10.09 billion, a 132 per cent surge in just six years," says Manoj Paul, MD of Equinix India, a part of US-based data centre